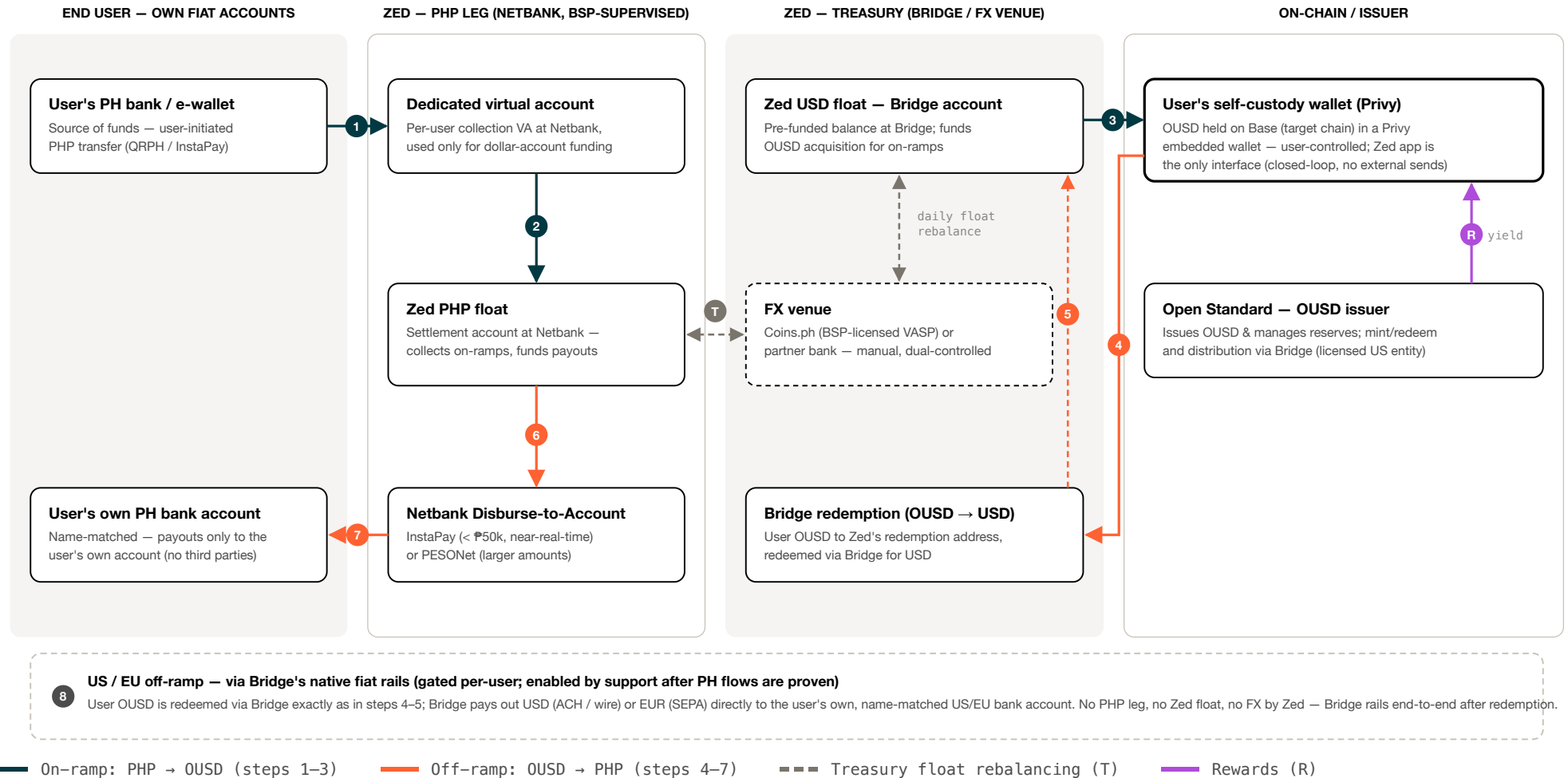


OUSD Dollar Account — Funds Flow

PREPARED FOR BRIDGE.XYZ · KYB ONBOARDING · CONFIDENTIAL

Product: a dollar-denominated store-of-value account for Zed's existing, KYC'd Philippine credit cardholders. Users fund in PHP from their own bank accounts; Zed converts to USD and acquires **OUSD** (issued by Open Standard, via Bridge) into the user's **self-custody Privy embedded wallet**. Store of value only — no payments, no external crypto transfers. **Pilot scope:** 50 invite-only users · pilot-wide TVL cap ≈ ₱15M (≈ \$260k) · per-user balance cap ≈ \$8,700.



Flow detail

— On-ramp — PHP → OUSD

- 1 **User sends PHP** from their own bank or e-wallet (QRPH scan or bank transfer) to their dedicated Netbank virtual collection account, used exclusively for dollar-account funding.
- 2 **Deposit is auto-matched** to the user and order; PHP settles into Zed's PHP float. Unmatched or out-of-limit deposits alert ops within 15 minutes; default remedy is refund to source.
- 3 **Zed locks the FX rate** quoted to the user, debits its pre-funded USD float at Bridge, and acquires OUSD via Bridge, delivered on-chain to the user's Privy self-custody wallet. Each on-ramp records PHP in, rate, spread, USD funded, OUSD out, and tx hash.

— Off-ramp — OUSD → PHP

- 4 **User authorizes** (Privy signing) an OUSD transfer from their wallet to Zed's redemption address.
- 5 **Zed redeems OUSD → USD via Bridge;** proceeds land in Zed's Bridge balance, replenishing the USD float.
- 6 **The PHP payout is funded from Zed's PHP float** at Netbank — the user does not wait on redemption settlement.
- 7 **Netbank's Disburse-to-Account API pays the user's own, name-matched PH bank account** — InstaPay for < ₱50k (near-real-time), PESONet above. Each off-ramp records OUSD redeemed, USD received, rate, spread, PHP sent, rail, and rail reference.

— Treasury & rewards

- T **Floats are rebalanced daily:** net PHP collected is converted to USD (and vice versa) manually on the FX venue's own interface — Coins.ph (BSP-licensed VASP) or a partner bank — dual-approved and ledger-recorded. Ramps execute instantly against floats and never wait on FX.
- R **OUSD reserve yield is paid to Zed at the platform level** (per Open Standard's distribution program; Open Standard fee ≤ 25bps of yield). Zed passes rewards through to users **in OUSD** on a monthly distribution, computed from on-chain balance snapshots, fully auditable.
- 8 **US/EU off-ramp (gated):** per-user enablement via support; redemption as in 4–5, then Bridge's own fiat rails to the user's own US/EU account. No Zed FX or float involved.

Controls & compliance posture

- **KYC:** every pilot user is already KYC'd via Persona as a Zed cardholder; KYC data is shared with Bridge at onboarding to create the Bridge customer (users complete only any delta Bridge requires).
- **Own-account-only fiat legs:** deposits originate from, and payouts go to, bank accounts in the user's own name (name-match enforced; third-party payouts excluded) — minimizing mule/AML surface.
- **Closed loop:** Zed's app is the only interface to the Privy wallet — no external crypto send/receive surface, no deposits from outside the Zed ecosystem shown. Store of value only: no payments, P2P, or merchant spend.
- **Transaction monitoring:** on/off-ramp events feed Zed's existing monitoring and screening stack (incl. Comply Advantage) used for the card program.
- **Destination-account data** encrypted at rest and masked everywhere; full account numbers materialized only at disbursement time.
- **Double-entry ledger** over all Zed-controlled funds (floats, in-flight amounts, spread, rewards pool); append-only, balanced postings for every ramp, rebalance, and rewards event.
- **Daily three-way reconciliation:** internal ledger vs. Bridge / bank / FX-venue statements vs. on-chain OUSD across user wallets. Any break pages ops; the pilot runs a zero-loss bar (no break unresolved > 24h).
- **Dual control** on every manual money movement (treasury rebalance, manual disbursement, refund): one operator initiates, a second approves, all audit-logged.
- **Per-operation state machines:** every ramp has an immutable event trail; terminal states only *completed*, *refunded*, or *failed-with-ops-resolution*.
- **Halt procedure:** documented "close the ramp" runbook — on-ramps can be disabled at any time while off-ramps keep working (withdrawal-priority posture).

Parties & roles

PARTY	ROLE IN THE FLOW	NOTES / POSTURE
Zed	Program operator: user app, PHP on/off-ramp legs, treasury (PHP + USD floats), rewards pass-through.	Never custodies user assets — user OUSD is self-custodied. Operates double-entry ledger and daily reconciliation over all Zed-controlled funds.
End users	Source and destination of all fiat. Fund from and withdraw to their own accounts only.	50 invite-only pilot users drawn from ~11,000 existing Zed cardholders — already KYC'd (Persona) and credit-underwritten, accounts in good standing.
Bridge.xyz	OUSD orchestration: acquisition on on-ramp, redemption on off-ramp, Zed's USD float account, US/EU fiat payout rails.	Licensed US entity. Zed's Bridge customer records created from shared Persona KYC data.
Open Standard	OUSD issuer; reserve management; platform-level yield distribution to Zed.	Public OUSD launch targeted 9/15/26; external pilot funding gated on it.
Privy	Embedded self-custody wallet infrastructure for user OUSD balances.	Keys secured per Privy's model; Zed's app is the only wallet interface (no external send/receive UI).
Netbank	PHP collections (per-user virtual accounts) and PHP payouts (Disburse-to-Account: InstaPay / PESONet).	BSP-supervised. Same rail Zed's users already use today for card bill payments.
Coins.ph / bank	FX venue for daily PHP↔USD treasury rebalancing.	Coins.ph is a BSP-licensed VASP. Execution is manual on the venue's own interface, dual-controlled.
Persona	KYC provider for all users; artifacts shared with Bridge so pilot users don't re-KYC.	Existing vendor relationship covering the full cardholder base.

Pilot limits

LIMIT	VALUE
Users	50, invite-only, existing KYC'd cardholders
Min on-ramp	₱1,000
Max single on-ramp	₱100,000
Max per-user monthly on-ramp	₱500,000
Max per-user balance	₱500,000 equivalent (≈ \$8,700)
Pilot-wide TVL cap	₱15M equivalent (≈ \$260,000)
Off-ramp	No minimum beyond rail minimums; max = full balance

Limits are proposed pilot values; the current \$500 entity-wide cap applies to Zed-internal testing pre-OUSD-public-launch only. FX spread/fees are finalized in tech design. Reflects Zed's PRD v4 (2026-08-16); provided to Bridge for KYB purposes.